

INTELLECTUAL PROPERTY LAW

Introductory Concepts of Intellectual Property Law

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Part I Chapter 1

1. Introduction

- IPRs- is property right
- IP- is the fruit of human intellect (mental labor not physical labor)

1.1. Intellectual Property in General

- property – movable and immovable (1226)
- However, due the industrial revolution and the rapid development made in the fields of science, technology and culture, new kinds of property came into existence

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➤ For this reason, new rights and properties like;

✓ Patents

✓ copyright and

✓ industrial designs, which came to be known as IPRs received attention due to their unique characteristics

✓ IP- stands for groupings of rights which individually constitute distinct rights.

✓ However, its conception differs from time and it to time. It is subject to various influences.

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- ✓ The change in information technology, market reality (globalization) and generality have affected the contents of intellectual property.
- ✓ For instance, in olden days-because of religion creation of life, say plants or animals were not protected.
- ✓ Thus, defining IP is difficult as its conception changes.
- ✓ It is diverse, challenging and has application in day today life.

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- IP Law is a section of law which protects creations of the mind
- IP —was originally designed to cover ownership of literary and artistic works, inventions (patents) and trademarks
- Thus, what is protected by IP law was;
 - ❖ the form of the work- Copyright
 - ❖ the invention- Patent
 - ❖ the relationship between a symbol and a business- Trademark

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- However, the concept of IP today covers
 - ✓ patents,
 - ✓ Trademarks
 - ✓ Copyright (literary and artistic works)
 - ✓ designs and models
 - ✓ trade names
 - ✓ neighboring rights
 - ✓ plant production rights (Breeders right)

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- ✓ topographies of semi conductor products
- ✓ databases (when protected by a *sui generis* right)
- ✓ unfair competition
- ✓ geographical indications
- ✓ trade secrets, etc

➤ Hence, IP have been characterized as —”pieces of information which can be incorporated in tangible objects at the same time in an unlimited number

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Of copies at different time and at different locations
anywhere in the world”

➤ In other words, IPRs are;

- ❖ intangible in nature,
- ❖ different from the objects they are embodied in.
- ❖ The property right is not in those copies but
- ❖ in the information which creates in them

In today's world, IPR importance is increasing for three
reason become

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1. the composition of world trade is changing. Currently, commerce in IP has become an even greater component of trade b/n nations. The **value** of information products has been enhanced greatly **by the new technologies of the semi-conductor chip, computer software and biotechnology.**
2. the world commerce has become even more interdependent, establishing a need for international cooperation.

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No longer can a single country impose its economic will on the rest of the world. Accordingly, countries have recognized this interdependence and have called for a broadening of international agreements/arrangements involving intellectual property.

3. New reprographic and information storage technologies permit unauthorized copying to take place faster and more efficiently than ever, undermining the creator's work.

1.1.2 The Concept of Intellectual Property

- Broadly, IP- means the legal property which results from intellectual activity in the industrial, scientific and artistic fields.
- Countries protect IP for two main reasons.
 - a. One is to give statutory expression to the moral and economic rights of creators in their creations and such rights of the public in access to those creations.
 - b. To promote, as a deliberate act of government policy, creativity and the dissemination and application of

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its results and to encourage fair trading which would contribute to economic and social development.

➤ Generally, IP law aims at safeguarding creators and other producers of intellectual goods and services by granting them certain time- limited rights to control the use made of those productions.

== These rights do not apply to the physical object in which the creation may be embodied but instead to the intellectual creation as such

→ Traditionally IP divided into two

a. industrial property

b. Copyright

Article 2(Viii) of convention establishing WIPO tried to define Ip. According to this definition IP shall include rights relating to:

- 1) literary, artistic and scientific works(belongs copyright)
- 2) performances of performing artists, phonograms and broadcasts;(Neighboring rights)

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3. inventions in all fields of human behaviour; about industrial property
4. scientific discoveries;
5. industrial designs;
6. trademarks, service marks, and commercial names and designations;

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7. protection against unfair competition and all other rights resulting from intellectual activity in industrial scientific, literary or artistic fields.

industrial property covers inventions and industrial designs.

- Inventions- are new solutions to technical problems, and
- industrial designs are aesthetic creations determining the appearance of industrial products.

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- Thus Industrial property includes trademarks, service marks, commercial names and designations, including indications of source and appellations of origin, and protection against unfair competition.
 - there are historical and philosophical reservation regarding IP protection
- A. **Historically**- reservation is IP don't exhibit essential characteristics of Property

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- i. material existence (corporeal chattels only as propriety.
- ii. property should be subject to appropriation/occupancy

B. Philosophical Reservation-

- They believed that human beings cannot be regarded as a creator of something(reflected in religions)
- The problems also relate with epistemology.
- What we reflect is what we observe from the world (our experience, life experience)

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❑ There are two factors in lumping intellectual property rights together. These are:

A. Historical Basis

B. Conceptual Basis

A. Historical Basis

❖ 1883- the Paris Convention on industrial property

❖ 1886- the Berne Convention on copyright.

❖ Both have their own secretaries

❖ In 1893 the two secretaries united

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➤ United International Bureaux for the Protection of IP (BIRPI) which later it became WIPO which was established 1967

B. Conceptual basis

- ❖ IP rights objects (enterprises) are inherently in appropriable.
- ❖ They are intangible by nature- Use by others cannot be denied by using the possession of a property first created.

1.3. Scope of Intellectual Property Rights

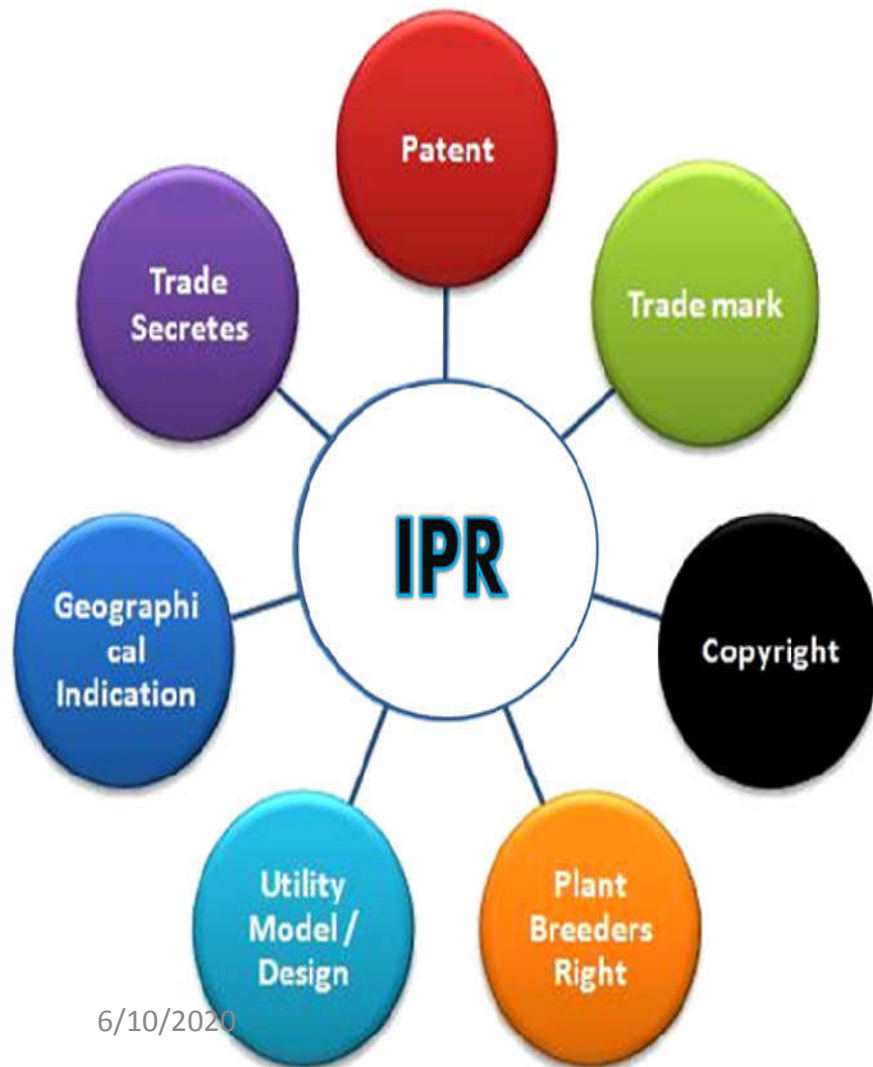
- IPR is so broad that it has *many aspects*
- It *stands for groups of rights* that distinctively constitute individual rights.
- However, *its scope differs from time to time*
- It is subject to various influences
- Its content is affected by change in
 - ✓ information technology,
 - ✓ market reality (globalization) &
 - ✓ Generality (i.e. social, religion etc

IP in summery

❖ IPR Evolution

- **Property → Right**
- **INTELLECT – PROPERTY – RIGHT**
- **Idea → Expression → COPYRIGHT**
- **Idea → Innovation → Invention → PATENT**
- **Idea → Quality + Identity → TRADEMARK**
- **Idea → Appearance → DESIGN**
- **Idea → Keep Confidential
No Disclosure**

Types IPR

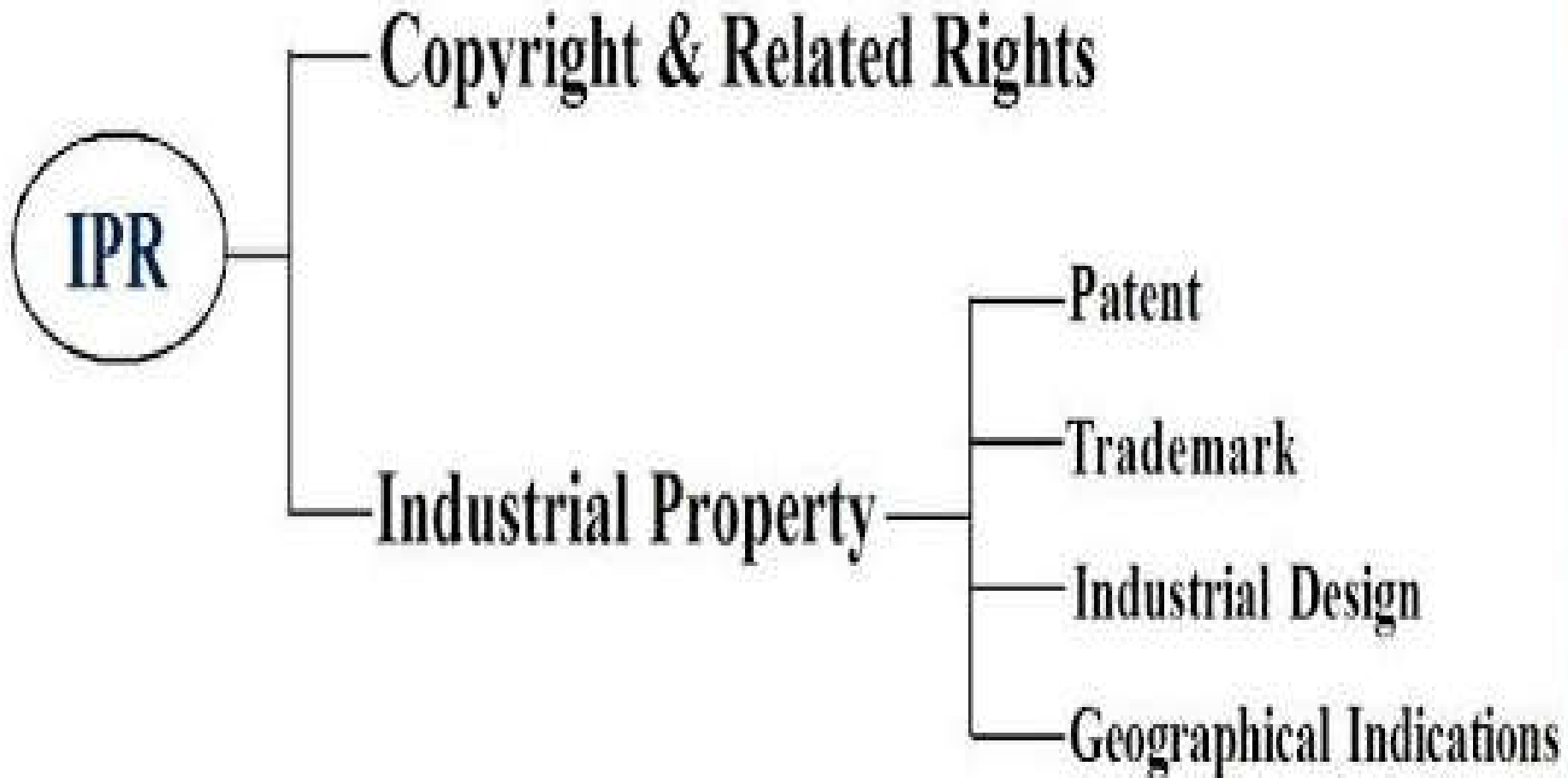


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Types IPR

Conventionally, IPR can be classified into two



IP

IPR



1.4. Nature of IP

IP have their own peculiar feature

A. Territorial

- ❖ IPRs are limited territorially; they exist and can be exercised only within the jurisdiction of the country or countries under whose laws they are granted.
- ❖ However, these works of the mind, including inventive ideas, easily cross borders and one can exploit it

B. Giving an exclusive right to the owner

- ❖ **Non owner** are prohibited from using the right.
- ❖ However, such rights cannot be implemented in practice as soon as the owner got exclusive rights
- ❖ It has to be tested by public laws excluding others

C. Assignable

- It can obviously be assigned or be transferred
- IP , sold, imported, exported licensed or hired or attached.

D. Independence

- **Various IPRs-** subsist in the same kind of object
- Most IPRs are likely to be embodied in objects

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E. Subject to Public Policy

- ❖ IPRs are vulnerable to the deep embodiment of public policy
- ❖ IPRs tries to strike balance between IPRs holder to get adequate remuneration and consumers try to consume works without much inconvenience.

F. Divisible (Fragmentation)

- Several persons may have legally protected interests evolved from a single original work without affecting the interest of other right holders on that same item.
- Because of the nature of divisibility, IP is an inexhaustible resource.

- IP drives this nature from its territorial nature.
- For example, an inventor who registered his invention in Ethiopia can use the patent himself in Ethiopia and can License it in Germany and assign it in France.
- Also, copyright is made up of different rights. Those rights may be divided into different persons: Authors, publishers, adaptors, translators, performer, etc.

Chapter 2

Theories of Intellectual Property

Introduction

- Societies may be shaped fundamentally as property institutions.
- These legal relationships between individuals, different sorts of objects, and the state are not easy to justify.
- It is also true of IP

- As it is difficult to determine the appropriate kinds of ownership of corporeal objects and it is even more difficult to determine what types of ownership we should allow for non corporeal, IP objects, (such as writings, inventions, and secret business information.
- The complexity of copyright, patent, and trade secret law reflects this problem.

- IP is resulted from post industrial society in which the manufacture and manipulation of physical goods is giving way to the production and use of information.
- It become increasing significant and wide spread of ownership
- This resulted in an ever increasing strain on law and custom in protecting IP
- then issue is why IP is Protected ? Various theories are developed as justification

2.1. Justifications for Intellectual Property Protection

- Why do we need to justify IP protection? restraint on access
- Broadly justifications for IP protection can be classified in to two: Justifications based on the right of the author and those based on protection of public interest (utilitarian justifications).
- Rights based justifications
- **Natural rights theory:** it is right to be protected over one's work and proper to protect (not as quid pro quo).

- In the same manner as one is entitled to fruits of his/her physical labor, authors are entitled to fruits of mental labor (government only recognizes it). = Intellectual creations result from the mind of their authors. ‘to every cow its calf’. Copying others’ work is theft
- Individual as creator.
 - the author is seen creator of literary text than reproducer of tradition.

- Earlier the mind of the author had been seen as reflector of the external world and the resulting work was compared to mirror representing selected and ordered image of life.
- Common-labor/possession-no wastage=property
- the mind of the author, which was motivated by organic qualities of genius, taste, judgment, and imagination, is seen as something which was not only interposed between the world of sense and literary work ,

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but also as something which was the cause for conspicuous differences between art and reality. This individualistic model of creation is a move away from God or nature as source of creation. Individual creation derived from what god has provided though.

A. Natural Right theory (Labor Theory (Locke's Theory))

- Property right is a natural right.
- A person has a right to own the creation of his labor in the same manner he owns creation of his mind
- At the beginning everything was common but by using the intellect it become private
- so protecting once mental labor(IP) is natural
- However, the problem of this theory is it doesn't cope up with the temporal limitation of intellectual property rights

- This theory may be justifiable for corporeal ownership in which its existence may be for indefinite period of time
- A person has a natural right to the fruits of her labour and that this should be recognized as her property, whether in tangible or intangible term.

John Locke has two theses on this theory

- 1) Everyone has property right in the labour of his own body. The labor of his body and the work of his hands are properly his.

2) The appropriation of an un owned object (ideas or theories) arises out of application of human labor to that object. Mixing one's own labor with un owned thing confers upon a property right in the whole thing.

=However, after appropriation there must remain objects of similar quality in sufficient quantity for others: —Enough and as good left for other.

B. Personality Theory

- IPRs-are important to create personal self assertion.
- Hegel- a person would be more self assertive when she/he owns property.
- He will feel more equal (equality) and will be freer.
- It is believed that the work is the personal expression of the author's or the inventor's thoughts.
- So he should be given the right to decide when and how his work may be produced or performed in public, and the right to prevent mutilations and changes

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- Thus, IP laws are to be there to protect the author's or the inventor's manifestation of his personality.
- This is also backed by the need for the safeguarding of the individual's freedom of expression

C. Utilitarian Theory

- IP Laws- make the public good -a private, a non rivalorous – rivalorous, the non-exclusive – exclusive, and the non-scarce –scarce which are not scarce by nature.

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- The laws create artificial scarcity of knowledge.
- This is done due to creators do not have the necessary incentive unless they have accorded some means to control their knowledge.
- Unless this is done, they lack the necessary economic incentive.
- Utilitarian is institution socially beneficial
- The utilitarian theory of intellectual property-states that we have IP systems because it has the effect on

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,the betterment /economic/ of the society.

- Its correctness is to be assessed in the economic success of the countries.
- So, it is more of an economic issue. We have witnessed tremendous technological advancements both in the science and the arts.
- this theory says, do something because you will get something.

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- Society care about creators b/c the ultimate beneficiary is the society itself
- because novel expression and innovation give solution to technical problems.
- ❑ There is objection from Economists-
 - ➔ exclusive rights, result in a creation of a monopoly right.
 - ➔ Monopoly is contradistinguished with a perfectly competitive market.
 - ➔ If monopoly is unrestricted it will result in market crush.

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❑ There are counter arguments to Economist

- Whenever the law gives an exclusive right to the innovator, it devised so many ways of resolving a problem.
- There is no IP law which prohibits other innovators from innovating a solution to the same problem.
- In copyrights since they protect expression of ideas.

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- In Patent for a drug for a certain illness does not prohibit innovating another drug for the same illness.
- However, each monopolizes their right until another comes.
- So, the monopolistic nature is undeniable. That is why governments try to control such monopolization
- Patent encourage an other inventor to invent around the same idea
- It stimulates others to develop an alternative

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- solution because of the monopolization of the patented idea.
- So it induces inventing around an existing patent
- W/o IP protection no design will exist w/c may result in absence cultural promotion
- The counter argument to this from Economists, are i.e.,
 - ➔ if we end up in giving different solutions to the same problem, it will result in economic waste since there are different problems which we have to give solutions to.

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The other version of utilitarian theory is incentive (bargain) theory states that

- The protection of IP given is an incentive to individuals not only to create works of the mind but also to publicize and disseminate them into the public.
- Since Works of the mind are very important to a given society for its social, cultural and economic development.
- Granting protection is to encourage creativity and publicity.

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- Through literature development, the cultural orientation of a given country will be promoted.
- Invention promotes industrialization.
- Development of the west has to do much with intellectual creativity.
- Those works require investment in terms of time, money and effort.

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- So without protection people will not invest on them.
- They are no less investment demanding than corporeal thing and the protection of the law is needed
- In addition, creativity by itself is not adequate. If the work of a mind is not made available to the public to be exploited
- With protection publicity will be encouraged thereby enabling their publicity and serve their intended purpose.

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- Upon the expiry of their period of protection it will become public
- When right is protected then the creator will make his work to be known.
- Without protection people may not make their works known
- That is why state is bargaining with individuals who create
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❑ Moreover, Various question arise regarding this theory

✓ Is IP law is the only stimulator?- it is controversial

✓ The other question is: does the theory really work?

Numerous assertions are made.

➤ There are factors other than intellectual property rights which stimulate innovation.

➤ Before the existence of intellectual property rights there were innovations.

➤ Some say, even great works of the mind are created without the existence of protection (Shakespeare's writings)

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- What they are saying is there are born creators, who continue creating even without protection.
- People create for different reasons:
 - ✓ to satisfy their natural urge
 - ✓ necessity
 - ✓ fame...
 - ✓ Some say copyright is unnecessary restriction on the public favor of the author.
 - ✓ For them, when there is shortage, a better system is needed and creativity follows even without legal protection.

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- However, the critics must be seen seriously in light of the world's development.
- In older days, people may write books because violation itself is very difficult since there were
 - ✓ no printing machines
 - ✓ no mechanism of dissemination
 - ✓ no recording machines for reproduction and
 - ✓ distribution.
- In history, works of the literature were even limited to certain groups(elites of the church)
- These days, however, the situation is changed.
- Thus, the critics on incentive theory will not work firmly today

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- royalty or fee for owners may increase the price of the product or service
- Which can be seen as a kind of tax on knowledge and information
- though consumers wish to owners may not meet the demands of the public in sufficient quantities.
- This will lead to *compulsory license*
- **Therefore, *Protection of IP* has** positive effect in promoting investment that is required for the,

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- ✓ production of new inventions
- ✓ technical innovation
- ✓ literary and artistic productions and the like

#Legal frame Work for IP Protection

- *How we protect IP?*

- **IPR** is protected by *intellectual property law*

➤ Intellectual Property Law is a branch of *private* a *substantive law* that governs inventor's or creator's:

- ✓ *Rights and obligations,*
- ✓ *Privileges and limitations*

➤ It is the specific law that:

- ✓ *Defines rights and obligations* of IP right holders and third parties in relation to IP rights
- ✓ *Classifies* IP and sets out governing rules accordingly; and
- ✓ *Lays rules* on acquiring, utilization, protection, transfer & loss of IP right

Legal frame work continued...

- ***Why countries need to have intellectual property laws?***
- have laws to protect IP for two main reasons
- **1st**, to give **statutory expression** to
 - ✓ the **moral and economic rights** of creators in their creations &
 - ✓ rights of the public in access to those creations
- **2nd**, to ***promote***
 - **creativity** and **dissemination** &
 - **fair trading** to enhance economic and social development

Continue...

- In Ethiopia, IP is protected by: **Constitutional, Civil & Criminal laws**

a. Constitutional law protection

- The Constitution of the FDRE, 1995: E.g. (*art 40(2)* of the Constitution)

b. Civil law protection

I. Intellectual property Laws:

- Inventions, Minor Inventions & Industrial Designs, Proc. No. 123/1995
- Copyright and Neighboring Rights Protection, Proc. No. 410/2004
- Trade Mark Registration and Protection, Proc. No. 501/2006

Continue....

II. Tort and Unlawful Enrichment Law

- Civil Code of the Empire, Proclamation No. 165 of 1960

c. Criminal law protection

- Criminal Code of FDRE, Proc. No. 414/2004 - (art 717 – 724 of Cr.C)
- **Copyright is protected under copyright and neighboring right law**
- **Patent protected under patent proclamation law**
- **Trade and service mark protected under trade mark law**
- **Industrial design – no specific law**
- **Trade secret- contract**

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International legal Instrument

- The Bern Convention
- The Paris Convention
- The Rome convention
- TRIPS

3.1.The Scope of IPR

- IPR is so broad that it has *many aspects*
- It *stands for groups of rights* that distinctively constitute individual rights.
- However, *its scope differs from time to time*
- It is subject to various influences
- Its content is affected by change in
 - ✓ information technology,
 - ✓ market reality (globalization) &
 - ✓ Generality (i.e. social, religion etc.)

Copyright

What is Copyright



- is a legal term describing rights given to creators for their literary and artistic works.
- is the legal right of an author of a creative work to control the copying and sale of that work.

Cont'd...

- ❖ In olden days, the term “copyright” has meant the **right to make copies** of a given work
- it was limited to **written work** and confer **the right to stop others** from making copies without one's permission
- Now, is **the right to copy**, a property right in an original **work of authorship**, fixed in any tangible medium of expression, giving the holder **the exclusive right to reproduce, adapt, distribute, perform, and display the work**

→ Grants authors, composers, and other creators legal protection for their **literary and artistic creations** (**works**)

Cont'd...

- Generally Copyright is a protection which protects the **ORIGINAL** creative expression of an idea



**Sufficient amount of
labor, judgement,
capital and skill of the
actual creator**

Cont'd...

❖ So Copyright protects

- ✓ original expression of ideas,
 - ✓ the way the works are done; and
 - ✓ the language used in the expression of idea
- the expression *of ideas* are *copyrightable; but ideas themselves are not*

➔ Gives **'bundle' of exclusive rights**, which allow owners to **control the use** of their original works in number of ways and to be **remunerated**

❖ Grant an *exclusive right* to *reproduce, prepare derivative works from, distribute copies of, and publicly perform & display the work*

➔ Also provides '**moral rights**' which protect the author's reputation and integrity.

- ❖ Lapses after a long period of protection
- the most notable **exception** is the '*fair use*' clause
- the *exception* gives researchers, educators, and libraries *special privileges* to use copyrighted material
- ❖ To be protected, administrative procedures are ***not required***
 - *means* – it grants ***automatic protection***

Cont'd...

Necessary conditions/ requirements for copyright protection

- ✓ It is recorded in some form
 - e.g. in writing, by a sound recording, on a computer disk or in a printed form.
- ✓ Must meet the requisite degree of originality
- ✓ If it is of a type protected under the copyright protection.
- ❖ Proof of *copying in an infringement action* requires
 - 1st *evidence of the defendant's access* to the original work and
 - 2nd *substantial similarity of the defendant's work* to the original

Cont'd...

- ***What can be copyrighted?***

- ✓ It is works protected by copyright

- Original Literary, dramatic, musical and artistic works

Cont'd...

- Sounds recording, films, broadcasts, Architectural works



- Typographical arrangements of published editions.



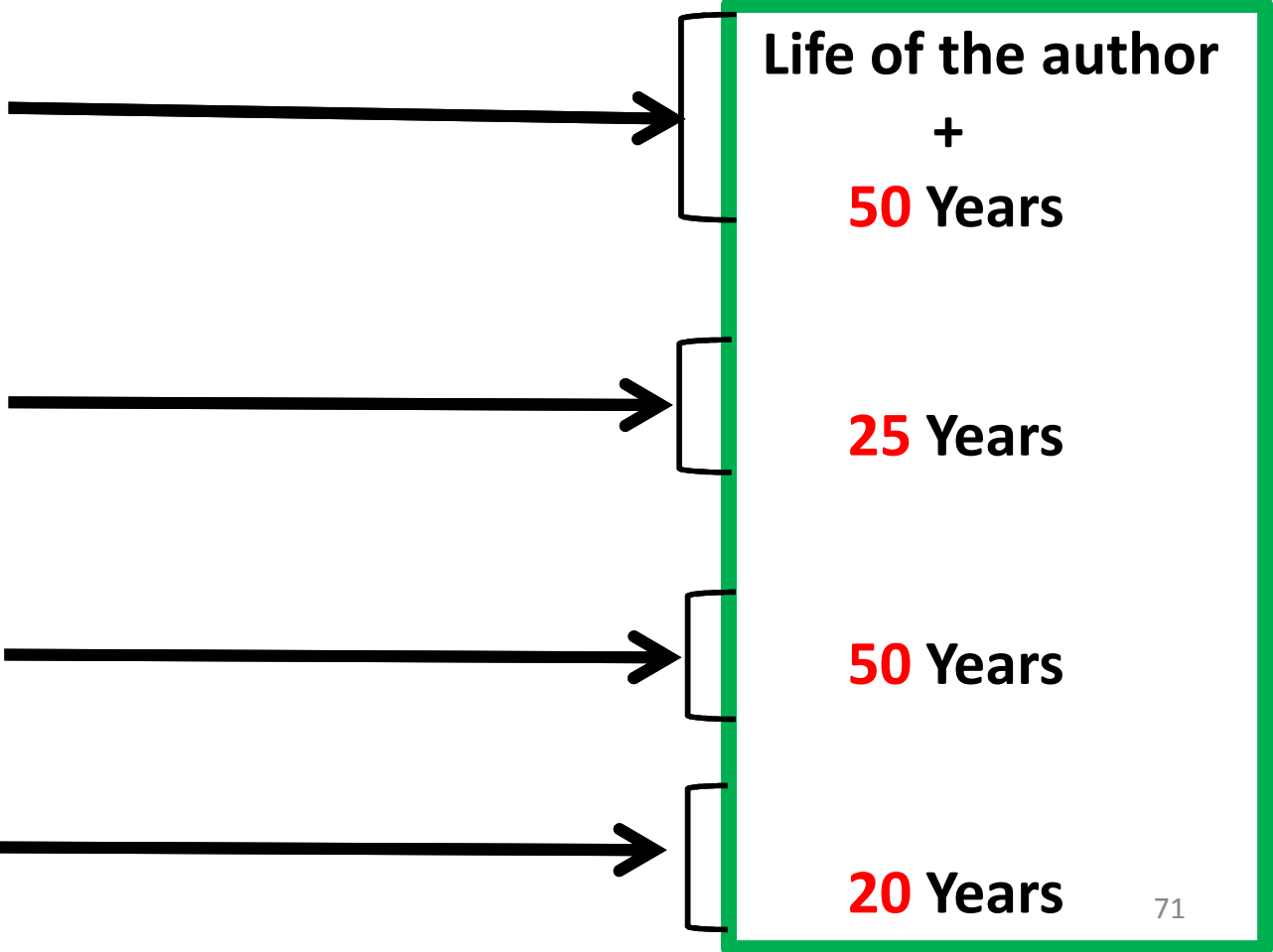
Cont'd...

What CAN'T be copyrighted?

- an idea
- procedure, process, system or method of operation
- a concept or principle
- a discovery regardless of the form in which it is explained, illustrated, or embodied in a work.

DURATION OF COPYRIGHTS

- Literary, dramatic, musical and artistic works
- Photographic works
- Sound Recordings
- Broadcasts



Cont'd...

- ***How do we know if a work is copyrighted?***
- sign is attached to items that embody copyright as a notice
- Notification of copyright work is made through *notice of copyright*

Notice of Copyright

- ***a copyright notice*** takes several forms i.e. can be:
 - *the symbol with the letter 'C' in a circle (©),*
 - E.g. ©Mr. Lencho CRSD, 2019
 - *the word 'Copr.' or*
 - *'Copyright.'*

Cont'd...

- must be followed by *the copyright owner's name* and *the year* that the work was first published
- *What is the difference between copyright and neighboring rights?*
- *Why neighboring right is distinct right of copyright subject matter?*

Neighboring right

- an IP right of *a performer or of an entrepreneur* such as a publisher, broadcaster, or producer, as *dis-tinguished from a moral right* belonging to *an author or artist* as the work's creator

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- ❖ is the way by which protection is given to: *performers in a theatre, dancers, actors, broadcasters, producers of sound recorders, etc.*
- ❖ also termed *related right; entrepreneurial right*;
- ❖ *is different from copyright but related with it*
- ❖ **Civil law countries** have consigned protection of *collaborative technological productions* to independent regimes

Cont'd...

- i.e. neighboring rights and moral rights are protected by *different laws*
- Common law countries have included these productions *in the subject matter of copyright*
- Meaning, both are protected *by the same* copyright laws
- is because of *their utilitarian emphasis* on the products rather than the processes of creative work

Chapter 4

• **What is a Patent?**

- is a protection given to a patentee for an invention for a limited term by the government for **disclosing the invention**
- right to exclude others from **making, using, offering for sale, or selling the invention throughout the country or importing the invention into home**
- The exclusive right of a patentee to *make, use, sell, offer for sale, or import an invention* for a certain period of time

Cont'd...

➤ An exclusive right

➤ Granted for an **INVENTION**

Bringing

a NEW

Idea

➤ Minimum time of 15 years

➤ Provides a new way of doing something or offers a new technical solution to a problem

Cont'd...

- According to the definitions, patent right gives the patentee an exclusive protection over an idea i.e. the right to make, use, or sell the invention
- the right includes the right to prohibit others from making, using, or selling the invention
- the exclusive right is a true monopoly
- Anyone making, using, selling or offering to sell the patented invention without the owner's consent is an infringer.
- It is like a piece of property so that:

Cont'd...

- can be sold outright for a *lump sum* or
- can be licensed in return for *royalty payments*
- What one patent is an inventions
- *What is invention?*

Invention

- is a new process, machine, manufacture, or composition of matter
- is a patentable device or process created through independent effort and described by an extraordinary degree of skill or ingenuity;
- is a newly discovered art or operation

Cont'd...

- is any art, machine, manufacture, design, or composition of matter, or any new & useful improve-ment thereof, which is patentable by the law
- So invention is not a mere scientific discovery
- Why do scientific discoveries are not considered as inventions?
- Scientific discoveries are the recognition of phenomena, properties or laws of the material universe
- may not be solutions for specific problems as they are general principles

E.g.,

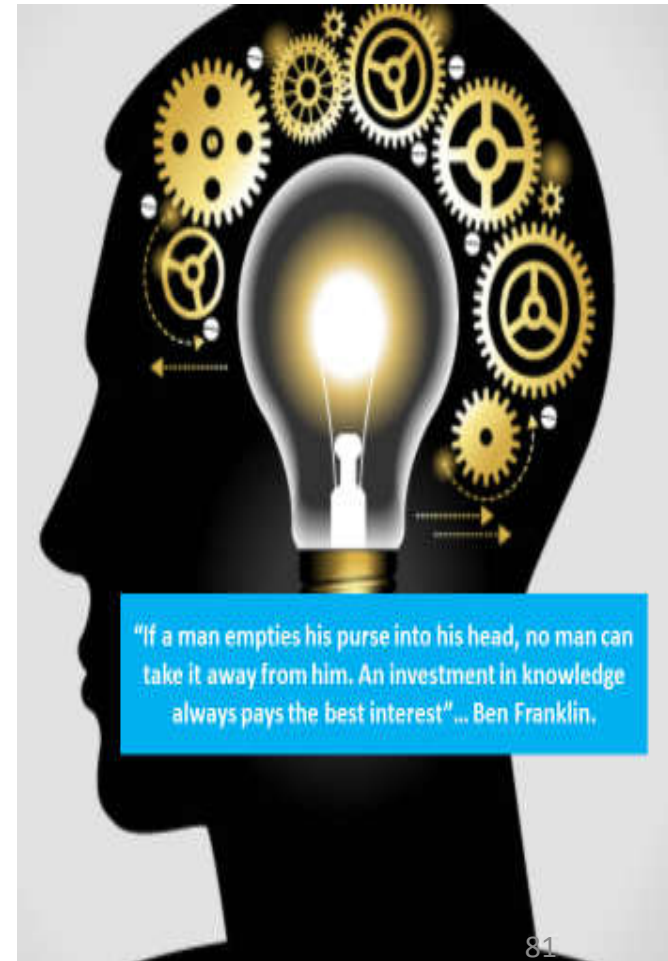
- One can't patent the scientific principle that water boils at 212 degrees

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- But can patent a machine (a steam engine) which uses this principle in a specific way and for a specific purpose

Patentability

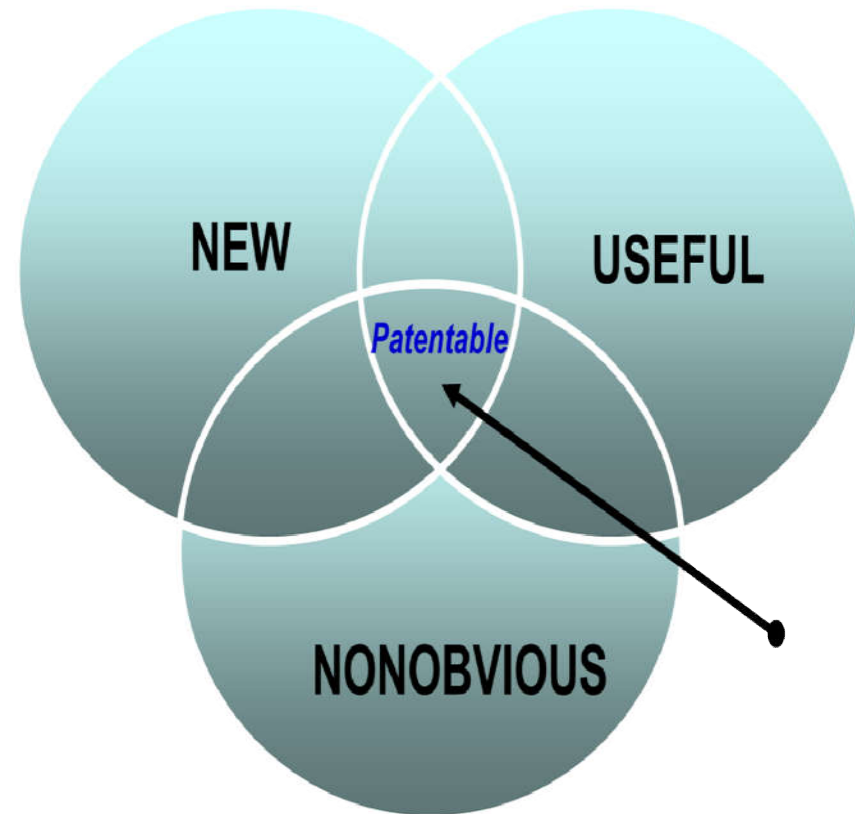
- Patentability is the conditions/requirements for an invention to be patentable



Cont'd...

- Requirements for Patentable Invention are:

1. Novelty
2. Non-Obvious
3. Utility



1. Novelty or new

**2. Inventiveness or
Nonobvious**

**3. Usefulness or
Utility or
Industrial
applicability**

**No prior disclosure of
any information
before the filing date**

**The feeling should
not be there that the
invention is
anticipated by prior**

The invention Must

**have some future
utility**

Cont'd...

- ***What can be patented?***

❖ Inventions that can be patentable are:

- 1) Process;
- 2) Machine;
- 3) Article of manufacture;
- 4) Composition of matter;
- 5) Improvement of any of the above.

Cont'd...

- *What cannot be patented?*

- ✓ It is to mean exceptions to patentability

- ❖ Non patentable inventions are:

- 1) Laws of nature;
- 2) Physical phenomena;
- 3) Abstract ideas;
- 4) Literary, dramatic, musical, and artistic works;
- 5) Not useful; or immoral etc.

Cont'd...

Examples of patentable inventions

- Frivolous, contrary to natural laws
- Contrary to public order or morality, prejudice to human, animal or plant life or health or to the environment;
- Mere discovery of scientific principle, abstract theory, living thing or non-living substances
- Mere discovery of new property, new use of a known process, machine or apparatus (efficacy)

Cont'd...

- Method of treatment.
- Plants, animals, including seeds varieties, species, biological processes.
- ***How can we identify patented product or process?***
- A patented product is identified by ***patent notice*** which is affixed on a patented article's surface or sur-rounding packaging

Cont'd...

❖ Patent notice

- ❖ is sign attached to items that embody patent right as a notice
- ❖ Patent notice is made by placing the word “patent” or “pat” and patent marking (the item's patent number) to a patented article's packaging
- ❖ Thus, affixing the patent number to a product gives constructive notice
- ❖ without the number in place, a patentee can not recover losses that occur before the infringer has actual notice of the patent

Industrial design...

- ***What is Industrial design?***

- A design is the protection of the ornamental or aesthetic aspect of an article
- A design is the protection of the form of a product
- Based on jurisdiction also termed as: ***design right***; ***patentable design***

Cont'd...

- ***Why we protect industrial design?***

- ❖ Industrial design rights are granted to the creator of designs to reward them for their effort and investment in manufacturing the product
- These rights enable the owner to make articles to which the design is applied or in which it is embodied
- ❖ applying for a protection of new and original designs enable owners to propose a license to create new incomes and/or receive royalties
- ❖ industrial designs can designate national culture & folklore
- ❖ makes a product attractive and appealing for the consumers

Cont'd...

- ❖ Industrial designs are important branding tools
- ❖ just as trademark shapes and distinguish a company's corporate image, goods and services; a design shapes the form of new products to differentiate it from current products.
- ❖ So both are IP tools that contribute to a branding strategy
- ❖ this is possible only once the formal protection is legally agreed.
- ❖ a design is also automatically protected by the copyright system

Cont'd...

➤ **The Importance of a Creative Design**

- ✓ **Makes a product attractive and appealing**
- ✓ **Target specific market segments**
- ✓ **Create a new market niche**
- ✓ **Encourages fair competition and honest trade practices**
- ✓ **designate national culture and folklore**
- ✓ **Strengthen brands**
- ✓ **Launch a new style of products and increase consumer's demand**

Cont'd...

- ***What can be protected as an industrial design?***
- An industrial design consists of
 - Creation of a shape
 - Configuration or composition of pattern
 - Colour or combination of pattern
 - Colour in three dimensional form containing aesthetic value
- it applies to products of industry & handicraft, technical & medical instruments, watches, jewelry, house wares, electrical appliances, luxury items, vehicles, architectural structures, textile designs

Cont'd...

- ❖ can be a two- or three-dimensional pattern used to produce a product, industrial commodity or handicraft.
- ❖ However, only the aesthetic/visual form of a product can be filed and protected as an industrial design
- ❖ So solely protects non-functional features of industrial product
- ❖ Does not protect the technical (patents) nor distinguishing features (trademarks) of the object to which it is applied
- ❖ protect the product's appearance
- ❖ gives an exclusive protection to a person who has created a novel appearance of a product

Cont'd...

- prohibits unauthorized use of such signs which is likely to mislead consumers and practices in general
- Generally, design deals with appearance i.e. how an article looks like
- It only covers *appearance, not quality*
- It *shares copyright law* because the design is also an artistic
- It also *shares patent law* because there are scientific considerations
- It requires *administrative procedures* to be protected i.e. registration and publication

Cont'd...

- After Registration the owner
 - ✓ has exclusive right to prevent unauthorized copying or imitation by others
 - ✓ return on investment
 - ✓ increase commercial value of a company and its products
 - ✓ can license (or sell) registered design
 - ✓

Cont'd...

- ***What is not registrable?*** or
- ***What cannot be protected?***
 - ✓ A design which is not new or original
 - that fail to meet requirements of novelty, originality and individual character
 - ✓ A design which has been disclosed to the public anywhere in the world prior to the filing
 - ✓ Designs dictated by technical function
 - not significantly distinguishable from known designs or combination of known designs

Cont'd...

- ✓ Designs with official symbols or emblems
- ✓ Designs contrary to public order or morality
- comprises or contains scandalous or obscene matter
- An industrial design can be in the forms of:
 - ✓ 2D (two dimensional) pattern product
 - ✓ Graphic designs
 - ✓ 3D (three dimensional) pattern computer graphic design
 - ✓ 3D (three dimensional) pattern digital design

- 2D (two dimensional) pattern product

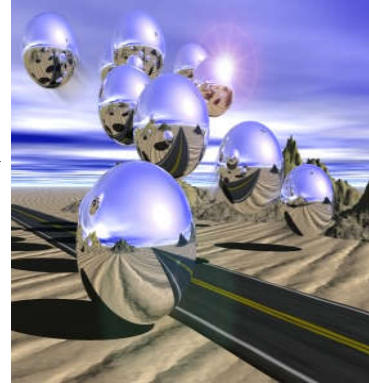


- Graphic designs



Cont'd...

- 3D (three dimensional) pattern computer graphic design



3d
THREE
DESIGNS

- ❖ 3D (three dimensional) pattern digital design



3.2.Types

Consumer Products



Cont'd...

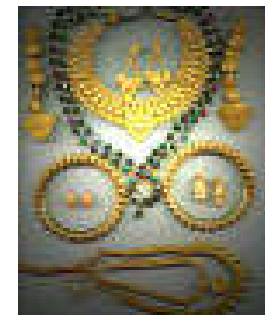
Pharmaceutical Product



6/10/2020

Cont'd...

Textile & Jewelry



Cont'd...

- ***What to remember when seeking design protection?***

- ✓ The design must be NEW
- ✓ The design must be ORIGINAL
- ✓ The design must have INDIVIDUAL CHARACTER
- ✓ The design can also be protected as copyright (not only as a Design)

Scope of Designs Rights

- The right to
 - ✓ prevent unauthorized copying or imitation by third parties.
 - ✓ exclude all others making, offering, importing, exporting or selling product with a specific design.

Cont'd...

- However an infringement can be legally combated only if the owner has record his design(s) and received a formal certificate of protection.
 - i.e. 'Cease and desist' letter to infringer

Trademark

- **What is a trademark?**

- Any sign, or any combination of signs, capable of distinguishing the goods or services of one undertaking from those of other undertakings
- a word, phrase, logo, or graphic symbol used by a manufacturer to distinguish its product from others
- is the body of law dealing with *how businesses distinctively identify* their products

Cont'd...

Article 2(12) of Trademark Proc. No. 501:

*“means any visible **sign** capable of **distinguishing goods or services of one person from those of other persons; it includes words, designs, letters, numerals, colours or the shape of goods or their packaging or the combinations thereof;***”

Cont'd...

- Thus, a trademark protects any sign or symbol that allows your customers to tell you apart from your competitors.
- The protection is the law's recognition of the psychological function of symbols
- *is a merchandising shortcut* which *induces* a purchaser to select what he wants, or what he has been led to believe he wants
- the owner of a mark *exploits human propensity* by *impregnating* the atmosphere of the market with *a congenial symbol*

Cont'd...

- ***What is a service mark?***
- A service mark is the same as a trademark, except that it identifies and distinguishes the source of a *service*, rather than a product.

Service Mark Examples



Cont'd...

- ***What is the difference between 'Trademark' and 'Mark'?***

- Both of these terms are used to refer to **trademarks** (*goods or products*) and **service marks** (*services*).

Requirements of Trademark Protection

- ***What marks be eligible as a Trademark?***

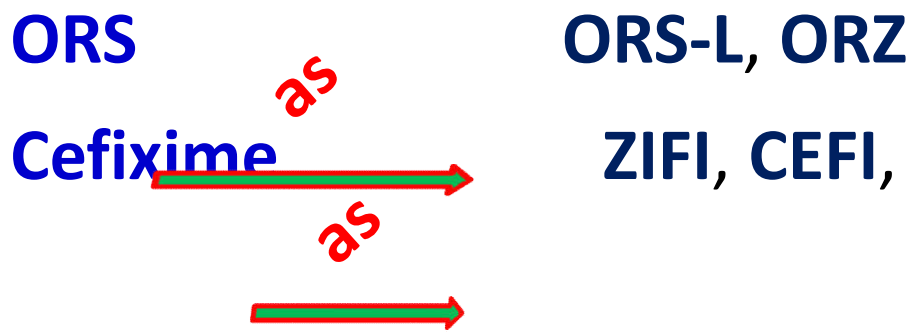
- You can register a name, logo, slogan, domain name, shape, colour or sound (*? see art. 6(1,b of TM proc.)*)
- To receive protection, graphically represented trademark:
 - ✓ Must be distinctive/ distinguishable

Cont'd...

- ✓ Must not be descriptive
- ✓ Must not deceptive/ generics
- Deceptive – are those marks that are similar to known/well-known marks

Instance

- Making a mark from
 - Making a mark from
- Cefixin**



➤ see art. 5 of Trademark proc. No 501/2006 that state admissibility

Cont'd...

- ***What cannot be admissible as a Trademark?***
- Sign, or any combination of signs may be considered as ineligible if they consists of:
 - ✓ Immoral, deceptive, scandalous
 - ✓ Flag, state, foreign nation
 - ✓ Name (**?** see ***art. 6(1,J of TM proc.)***), portrait, signature
- see art. 6 of Trademark proc. No 501/2006 that state inadmissibility

Cont'd...

Functions of Trademark

- ✓ Trademarks helps customers to identify & choose between products/ services based on their reputation and quality
- it serves as *instrument to build consumer goodwill*
- convey in the minds of potential customers, *the desirability of commodity*
- ✓ once there is a valid representation, it gives the owner exclusive right if it is registered
- ✓ Ensure that consumers can rely upon a mark to identify, distinguish and indicate source without being confused by competitive products

Cont'd...

- It protects the consumers from *deception or confusion* over what they are purchasing
- ✓ ***Distinguishing function*** products or services from one source, from identical or similar products or services from other sources
- ✓ ***Guarantee function*** of trademarks refers to a particular quality of the product or service for which it is used
- ✓ ***Communication function*** creates interest and inspire a feeling of confidence of the customers.

Cont'd...

- Thus a trademark functions on three different levels: as
 - a) an **indication of origin or ownership** (Identification function (origin);
 - b) a guarantee of **the quality** of product or service, (quality function); &
 - c) a medium of **advertisement** (communication function)
- If anyone **poaches** upon the commercial magnetism of the symbol, the owner can obtain legal redress
- It exists forever as long as the good is there up on renewal

Cont'd...

Types of Trademark

- There are different types of trademarks
- These are
 - ✓ Wordmarks (e.g. letters, words, numerals)
 - ✓ Figurative images or logos (e.g. graphical images, drawings, symbol)
 - ✓ 3-D marks (e.g. wrappers packaging form of product)
 - ✓ Sound marks
 - ✓ Combined marks (e.g. any combination of the above options)

Different Types of Trademarks

➤ 3-D marks



➤ Combined marks



➤ Words



➤ Figurative images or logos



Trademark

➤ Identifies goods/

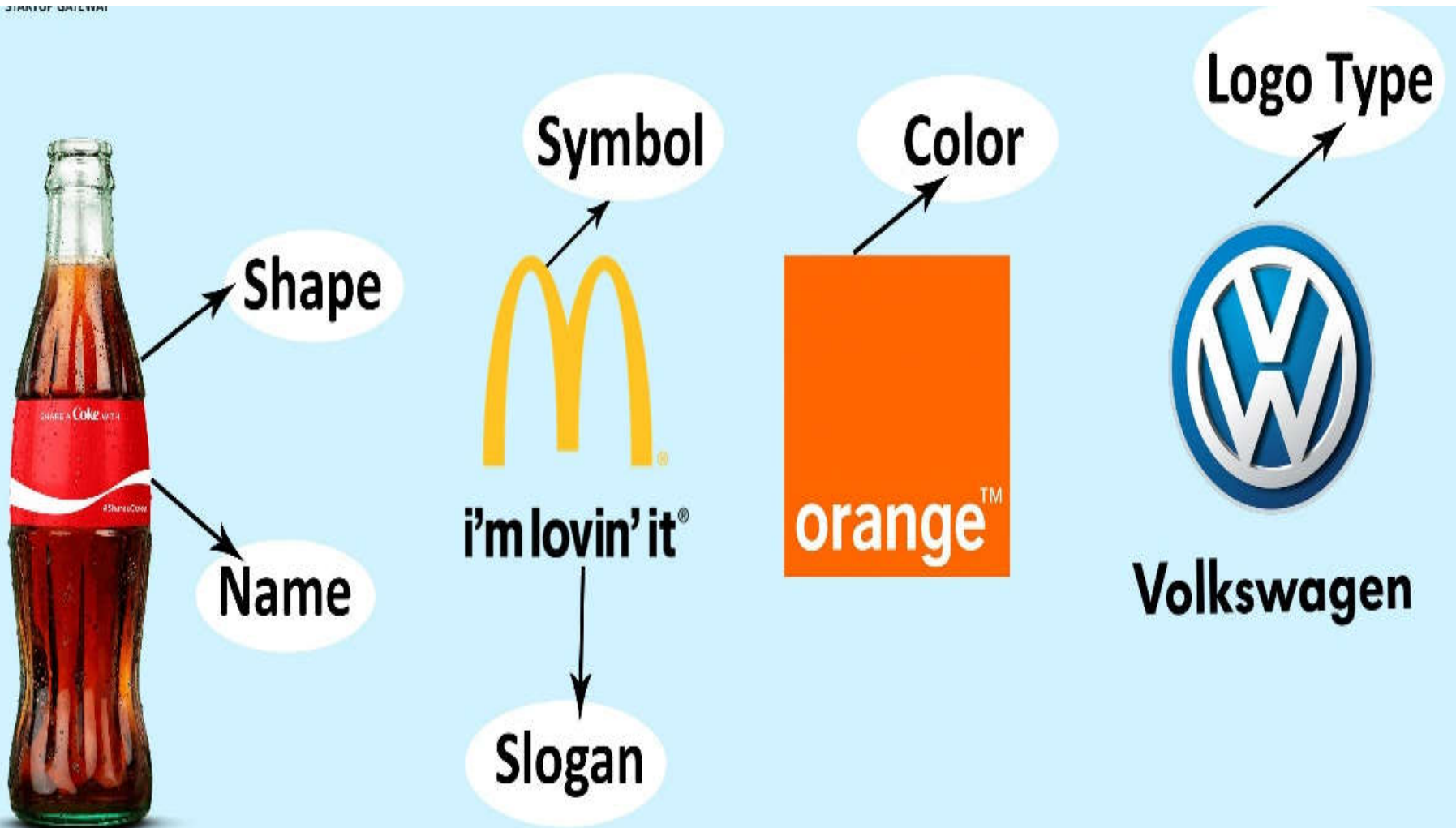


Service mark

➤ Identifies

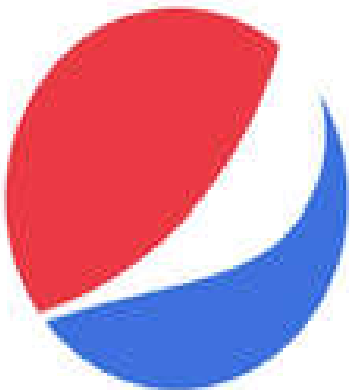


STARTUP GATEWAY



Cont'd...

Abstract mark



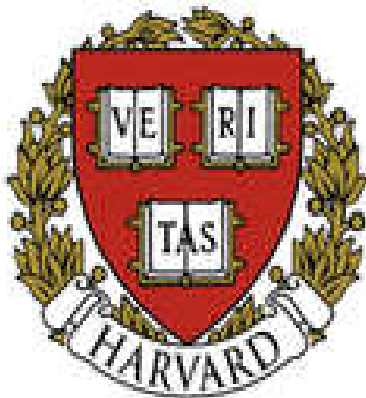
Mascot logo



Combination mark



Emblem logo



Cont'd...

• *How do we know if a mark is protected?*

➤ Trademark may be designated by the following symbols

✓ 

for **Unregistered Trademarks**, that is, a mark used to promote or brand goods

✓ 

for **Registered Trademarks**

✓ 

for **Unregistered Servicemark**, that is, a mark used to promote or brand services

Cont'd...



Registered
Trademark

vs

Unregistered
Trademark



- ***Registered Trademarks***

symbol are formal signs

- convene exclusive **statutory notice**
- Grants rights to use nationwide
- require registration & constant use
- incontestable after 5 yrs.
- allows statutory damages

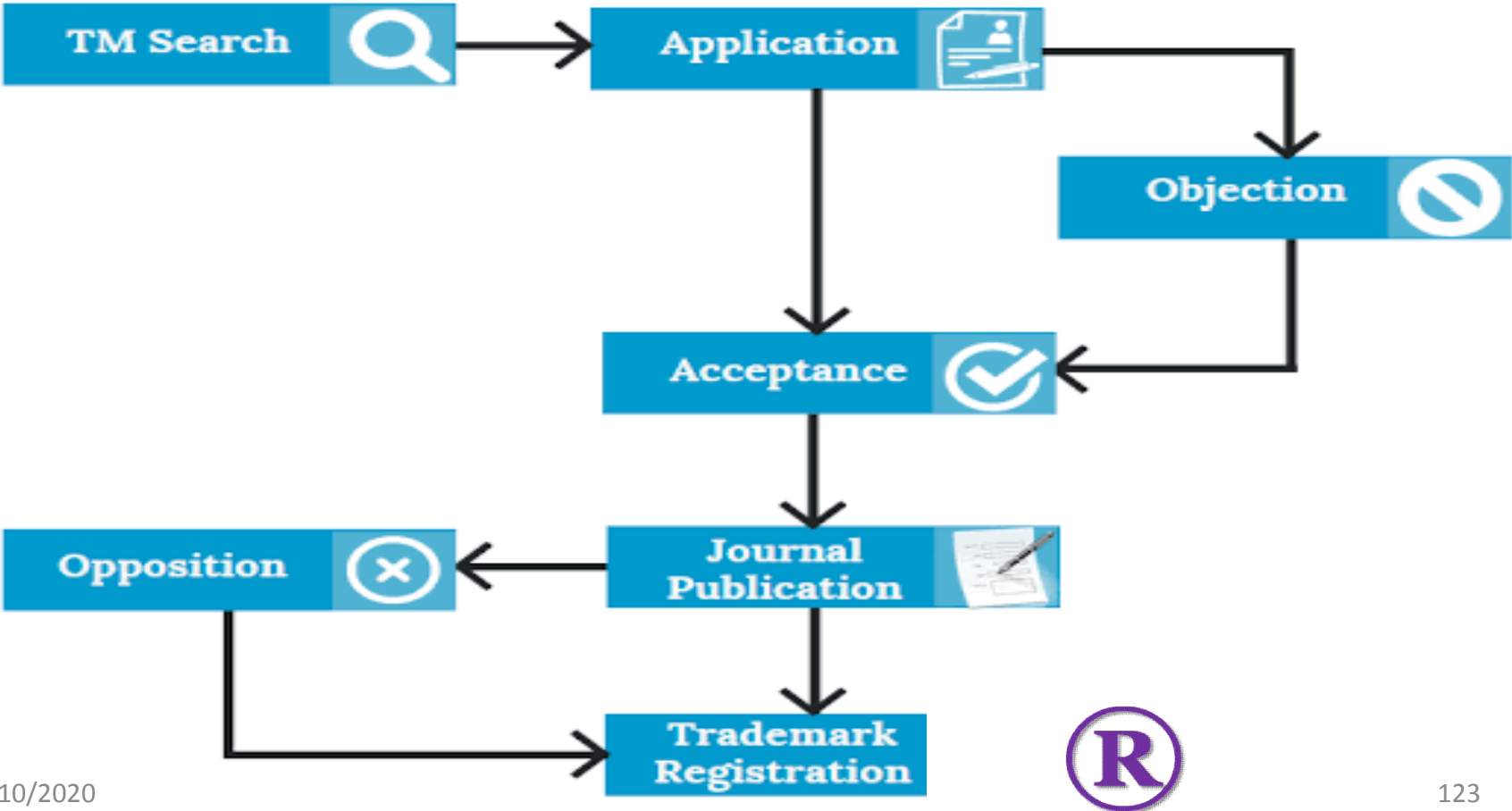
- ***Unregistered Trademarks***

symbol are **informal** signs

- needs proof of ownership in dispute
- used to promote or brand services
- Rights are geographically limited
- no registration required
- require continuous use



Trademark Registration



Cont'd...

Example Trademarks



*Almost every brand logo you
can think of has a Trademark*



Cont'd...



Vs



Cont'd...



Cont'd...



Cont'd...



Geographic Indication

- *What is Geographic Indication (GI)?*

- is a **name or sign used** on certain **products** which corresponds to a **specific geographical location** or **origin** (e.g. a town, region, or country)
- is **name or sign used** on **goods** originating from **specific geographical origin** or location and **possess qualities, reputation** or **characteristics** that are essentially **attributable** to that **place** of origin.
- is a branches of **IP law** which **protect designation** of **agricultural, cultural, industrial products**



Cont'd...

- also termed *appellation of origin*
- ❖ could be any geographical name or sign such as symbols, icons, etc.
- ❖ applies to a product whose quality has been gained by natural means, the nature of the local climate or soil, or by the nature of the way it is made, or by local customs of production of
- ❖ is a *certification* of the *product* that *due to* its *geographical origin* it
 - ✓ possesses *certain qualities*,
 - ✓ is made according to *traditional methods*, or
 - ✓ enjoys a certain *reputation*

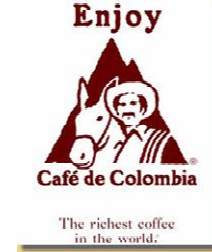
Cont'd...

- ❖ From these **definitions** it can be **deduced** that GIs;
 - a) protect goods*
 - b) there needs to be a link between the product and a particular territory* (sometimes irrespective of size)
 - c) reputation, or characteristics of the good should be attributable to the place of origin*
- ***What is the significance of GI Registration?***
- ❖ Protecting GIs by registration have the following significance:
 - ✓ Confer **collective and exclusive right** to a community of producers

Cont'd...

- **Prevent an unauthorized** use of the commodity registered as GI by any third party.
- ✓ are **used as marketing tool**; to designate product's quality, highlight brand identify and preserve cultural traditions
- Such identification enables the product to gain reputation and goodwill
- ✓ Helps in proper **distribution of the economic returns** for small household farmers
- Because registration bring increased demand and a higher retail price for quality product

Ge



- ✓ help in **preserving age-old heritages**
- ✓ highlighting the **indigenous products** of African countries
- ✓ **Investment- job** opportunities
- ✓ **Attracts Tourism**

Cont'd...

Examples: protected GIS

➤ EU/North American countries



www.evinila.com



5/10/2020



Cont'd...

➤ Developing countries



Darjeeling Tea became the first GI tagged product in India, in 2004-05, since then by September 2010

Cont'd...

EXAMPLES OF GIs

INDIA

- Basmati rice
- Mysore silk
- Mysore sandalwood oil
- Mysore sandal soap
- Mysore jasmine
- Coorg orange
- Madhubani paintings
- Darjeeling tea
- Dharwad pedha
- Alphonso mango
- Tirupathi laddu
- Kolhapuri chappal
- Nanjangud banana



Sweet properties: A pair of Tirupathi laddus. The GI status is given to identify a product as having a specific provenance, and with it retains quality or reputation associated with that origin.



WORLD

- Canadian whisky
- Swiss watches
- Florida oranges
- Champagne
- Tequilla.



Cont'd...

- ***How do we protect?***

- GI is protected through domestic, regional and international laws

➤ the National Level protection is under

- Sui Generis GIs: PGI, Indication of source
- Other IPR regimes: Trademarks, trade secrets, collective marks etc.
- Unfair competition and other related laws

➤ Regional protection of GIs in Africa

- African regional intellectual property organization (ARIPO)
- African intellectual property organization (OAPI)

Cont'd...

➤ International protection

- Paris Convention for the Protection of Industrial Property (1883)
- Madrid Agreement for the Repression of False or Deceptive Indications of Source on Goods (1891)
- Lisbon Agreement for the Protection of Appellations of Origin and their International Registration (1958)
- Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement) (1995) – art. 22, 23

Trade Secrets



Cont'd...



Cont'd...

- **What is Trade Secrets?**

- Any information that derives independent economic value
- refers to data or **information** relating to the **business** which is **not generally known to the public** and which the owner reasonably **attempts to keep secret** and **confidential**
- is a formula/ recipe, invention, idea, survey method, manufacturing process, financial strategy, client database which is **not generally known** or **reasonable ascertainable**, by which business can obtain an **economic advantage over competitors**

6/10/2020

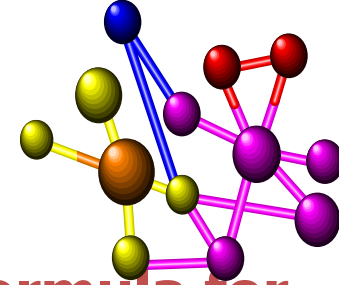


Cont'd...

- A *formula, process, device*, or *business information* that is *kept confidential* to gain an *advantage over competitors*
- Information *kept out of view* and *knowledge from the public* and *maintains economic value* by keeping it a secret.
- In some jurisdiction also named *Confidential information*, *Classified information*
- So trade secret grants protection against 'unfair' appropriation of these commercial information



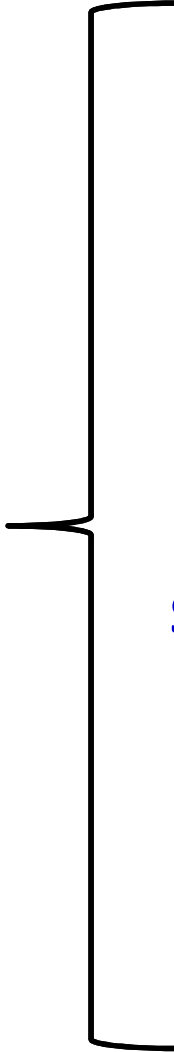
TRADE SECRETS



- Coca-Cola has held secret the formula for Coke for over 100 years - a patent would not provide such long protection
- Most trade secret lawsuits are common law actions of stealing & using secrets
- Prosecutors can also press criminal charges
- Protection in other countries is difficult
- Information is a trade secret if:
 - it is not known by the competition
 - business would lose advantage if competition were to obtain it
 - owner has taken reasonable steps to protect the secret from disclosure
- See Issue Spotter: "*Protecting Valuable Information*" re: company representatives who leave to work for a competitor

Cont'd...

EXAMPLES OF TRADE SECRET

- 
- **CUSTOMER LISTS**
 - **BUSINESS INFORMATION**
 - **EMPLOYEE DETAILS**
 - **FINANCIAL RECORDS**
 - **DATA COMPILATIONS**
 - **BUSINESS PLANS AND STRATEGIES**
 - **FORMULAE**
 - **DESIGNS**
 - **DRAWINGS**
 - **ALGORITHMS**

Cont'd...

Criteria for Trade Secrets

- The **information** that kept secret must:
 - 1) not be **generally known** in the industry,
 - ✓ must not be readily accessible by people who normally deal with such type of information
 - 2) give **advantage** over competitors,
 - ✓ must have commercial value as a secret
 - 3) attempts to **prevent leakage** of it must be made
 - ✓ The lawful owner must take reasonable steps to keep it secret

Cont'd...

- ***When Trade Secrets are preferred?***
 - ✓ When invention is not patentable;
 - Some inventions, data, information ***cannot be protected*** by any of the available means of IPRs.
 - Such information is held confidential as a trade secret to be protected
 - ✓ Patent protection is limited to 20 years, when secret can be kept beyond that period;
 - ✓ When cost of patent protection are prohibitive;
 - ✓ When it is difficult to reverse engineer

Cont'd...

- National legislations provide protection in form of injunction and damages if secret information is illegally acquired or used.
- So long as the owner of a secret keeps it a secret he has a monopoly
- can be copyrighted and patented any time if they are original & novel, useful and non obvious
- This means anything which can *be copyrighted* or *patented* can be held as a trade secret
- but the converse *is not true*
- It exists without registration

Cont'd...

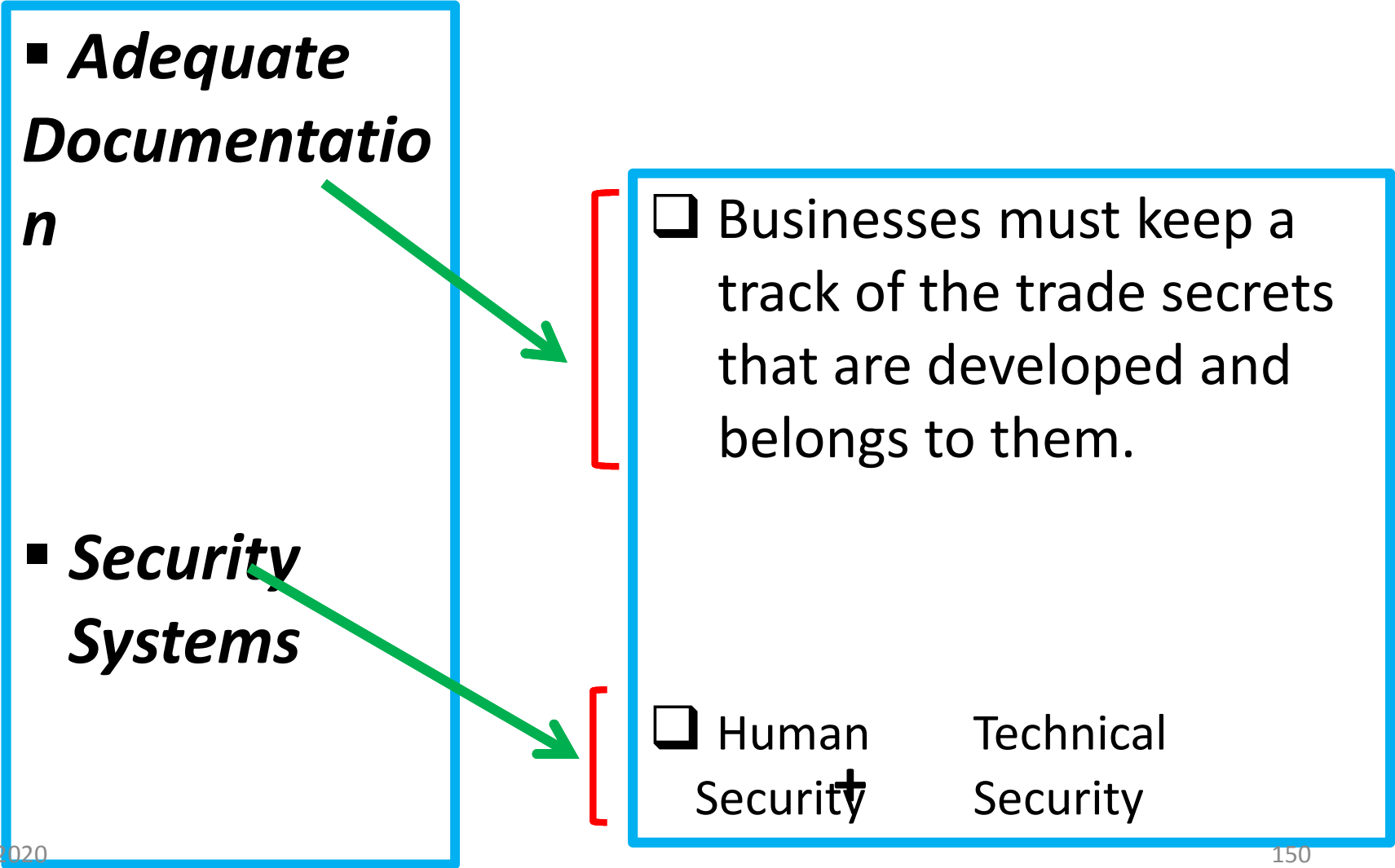
- *How to guard Trade Secret?*
- *How can the owner exercise his right to restrict or prevent?*
- i.e. the must tools to protect Trade Secrets
- Restricting number of people having access to secret information through *pledge/formal promise/* to *secrecy* in employment contracts
- Signing confidentiality agreements with business partners and employees

3.2.Types [Trade Secrets] *Cont'd...*

The must Tools to Protect Trade Secrets

- *Employment Agreement*
- *Trade Secret Policy*
- *Non-disclosure Agreements (NDAs)*

- Suitable confidentiality non-disclosure agreements with employees.
- Employees must be informed
- sign an acknowledgement to that

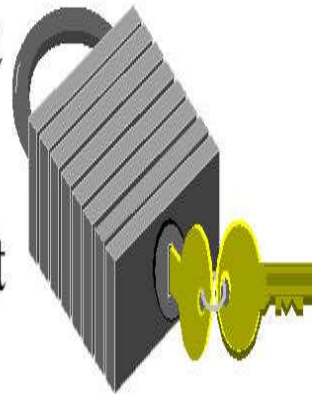


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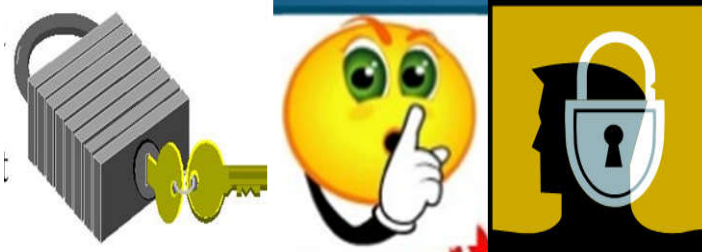
- if it is improperly disclosed/acquired by a competitor, the holder can get remedy as per tort, unfair competition or contract law
- but, the owner must show he has made reasonable effort to maintain the secrecy of the information

Reasonable Efforts to Maintain Secrecy

- ✎ Plaintiffs must show that they have taken reasonable measures to protect the secrecy of their trade secrets.
- ✎ A plaintiff cannot publicly disclose a secret and expect to protect it.
- ✎ Generally, reasonable measures must include certain efforts to prevent misappropriation or use of the trade secrets by former employees.



3.2.Types [Trade Secrets] Cont'd...



The 7 'Musts' of Trade Secrets



Famous Trade Secrets

Famous Trade Secrets

- COCA-COLA RECIPES
- KENTUCKY FRIED CHICKEN
- LISTERINE
- WD-40
- KRISPY KREME DOUGHNUTS
- MCDONALD'S BIG MAC SPECIAL SAUCE
- THE GOOGLE SEARCH ALGORITHM



Cont'd...



Secret Recipes



- **Kentucky fried chicken**
 - The secret recipe of “11 herbs and spices” lies in a bank vault.
 - Few people know it, and they are contractually obligated to secrecy.
 - The ingredients are mixed by two different companies in two different locations and then combined elsewhere in a third, separate location. To mix the final formula, a computer processing system is used to blend the mixtures together and ensure that no one outside KFC has the complete recipe

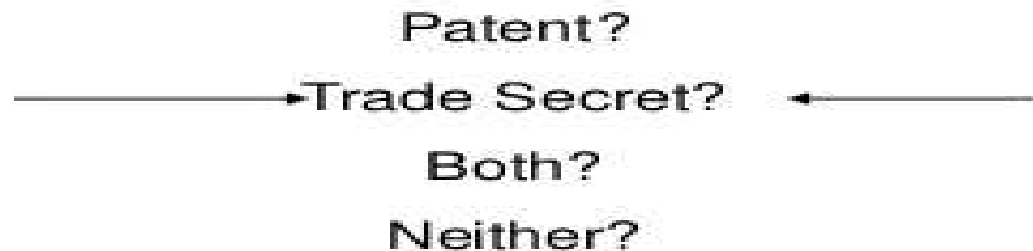
Cont'd...



Cont'd...

Trade Secrets v. Patents

- the concept of **protecting trade secrets** is related to the principles of *trademark* and *patent law*
- the **scope of trade secret**, however, *goes beyond* that of patent law
- ❖ A **new invention** can be protected either with *patent* or *trade secrets*
- But one **cannot protect** the *same* invention by *both patent*



Cont'd...

Trade Secrets v. Patents

- has to **make choice** out of them as there is **no simultaneous guard**
- ❖ unlike **patent**, **protection** under **trade secret** is **not tied** to **information's novelty**; rather, its **relative secrecy**
- ❖ unlike patent, **trade secret** draws **less from property principles**, and **more from the equitable principles** surround-ing confidential relationships
- ❖ unlike the law of patents, the law of trade secrets, is a **creature of the common law** rather than **statute**
- ❖ **trade secret** try to impose a **moral solution** on cases of apparent **breach of confidence**

Cont'd...

Trade Secrets v. Patents

- ❖ **trade secret** gives *the right to restrict* methods of **acquiring ideas** but **patent** gives *the right to restrict* the **use of ideas**
- **trade secret** gives the **owner** the right to keep others from *using information*
- ❖ **trade secret** gives *the right to prevent* its **employees** from *using* the **owner's information** in another job
- inhibit a **former employee** from doing work in *just that field* for which his **training** and **experience** have **best prepared him**

Cont'd...

Trade Secrets v. Patents *Cont'd*

- **trade secret** is about an **er** ... **ur's right** to **use** **valuable business information** or **techniques** that it **develops**
- It severely **limits** the **mobility** of **engineers** and **scientists**
- coz **new firms** are **reluctant to hire** them for **fear** of exposing themselves to a **lawsuit**

Trade Secrets v. Patents

TRADE SECRET LAW

Protects patentable inventions AND data not covered by patents such as customer lists, pricing information, undeveloped ideas, and more.

Invention is kept secret.

Protection lasts until patent is issued or while invention is kept secret.

Protection only from unauthorized disclosure or use of secret by third parties.

Risk for reverse engineering.

Is a state law.

PATENT LAW

Protects only patentable subject matter (process, machine, manufacture, composition of matter) that shows function or functionality (utility), is novel, non-obvious, and specific.

Invention is disclosed to public once the patent is issued

Protection is for limited time only.

Protection is for limited time only (14-20 years).

Has strong legal foundation to exclude others from use of invention.

Is a federal law.

Pros and Cons of Trade Secrets

□ Pros

- No acquisition costs
- Immediate protection
- Can be protected indefinitely (as long as secret)
- Need not be unique
- Possible civil and criminal penalties for theft

■ Not require

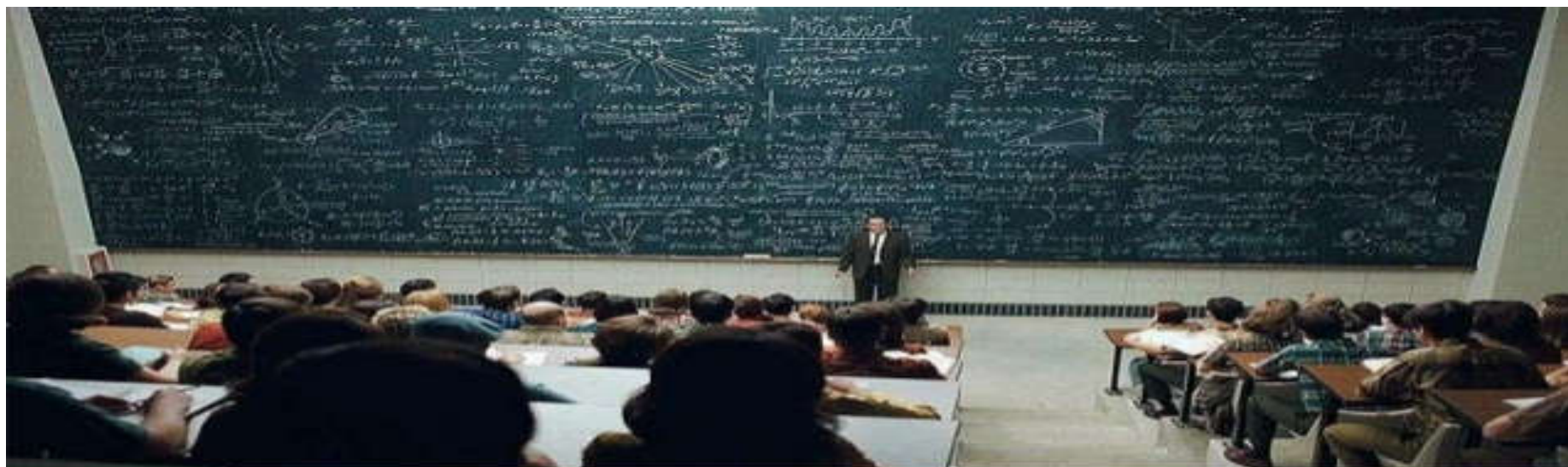
□ Cons

- Burden of maintaining secrecy
- Cannot stop others who independently develop
- May be subject to patent by third party
- Theft of trade secret difficult to prove
- Prone to reverse engineering

3.2.Types of IP [Summery]



	Copyright	Patent	Trademark
Works	Literary & artistic works	Process, machine, composition of matter	Distinctive ‘marks’ or appearance
Standard	Originality, authorship, fixation	Novelty, Nonobviousness, Utility	Distinctiveness, secondary meaning
Acquisition	Automatic; registration for remedies	Application process	Registration + use at Federal level
Law	exclusively federal	exclusively federal	<u>plus</u> state laws
Term	Life of author + 50 years	20 years from application for patent	Perpetual, subject to abandonment



Any questions?

Thank you